

loan issued and packaged into different CMOs could have been documented on a single blockchain. This would have allowed any purchaser to view a coherent record of CMO ownership and the status of each mortgage within.

Unfortunately, in 2008 multiple disparate systems—which were expensive and therefore poorly reconciled—held the system together by digital strings.

On the morning of Wednesday, September 10, 2008, Fuld and other senior management faced a different reality from Fuld’s confident summer proclamation. Management struggled to explain to a group of critical analysts \$5.3 billion worth of write-downs on “toxic assets” and a quarterly loss of \$3.9 billion.¹⁵ The call ended abruptly, and analysts signed off unconvinced of the measures Lehman was taking. The markets had already punished Lehman the day before, dropping its stock price 45 percent, and on Wednesday it dropped another 7 percent.¹⁶

Two days later, on Friday afternoon, the CEOs of Merrill Lynch, Morgan Stanley, and Goldman Sachs met at the New York Federal Reserve, along with the Federal Reserve Chairman, the U.S. Treasury Secretary, and the president of the New York Federal Reserve. The afternoon’s topic was what to do about Lehman Brothers. It was clear the situation had become critical. Initially it appeared either Barclays or Bank of America would come to the rescue of Lehman Brothers, but that likelihood quickly evaporated.

On Saturday, as the same group met again at the New York Fed, John Thain, Merrill Lynch’s CEO, had an unsettling